COURSE · INTERNATIONAL FINANCIAL MARKETS

Foreign Exchange Markets

The price of money

International Financial Markets

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AGENDA

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INTRODUCTION

> *The dollar is our currency, but it's your problem.*
>
> — John Connally, US Treasury Secretary, to European finance ministers, 1971

A decision taken in Washington can change the price of bread in Algiers.

ALGERIA SELLS
Oil & gas
in US dollars

⇄

ALGERIA BUYS
Most imports
in euros

EVERY MOVE BETWEEN THEM HITS the state budget · company costs · household purchasing power

Every day, **trillions of dollars** change hands to make this possible. Yet most people never see this market.



PROBLÉMATIQUE

How are exchange rates determined, what makes them change, and what risks do they create for economies, companies, and individuals?

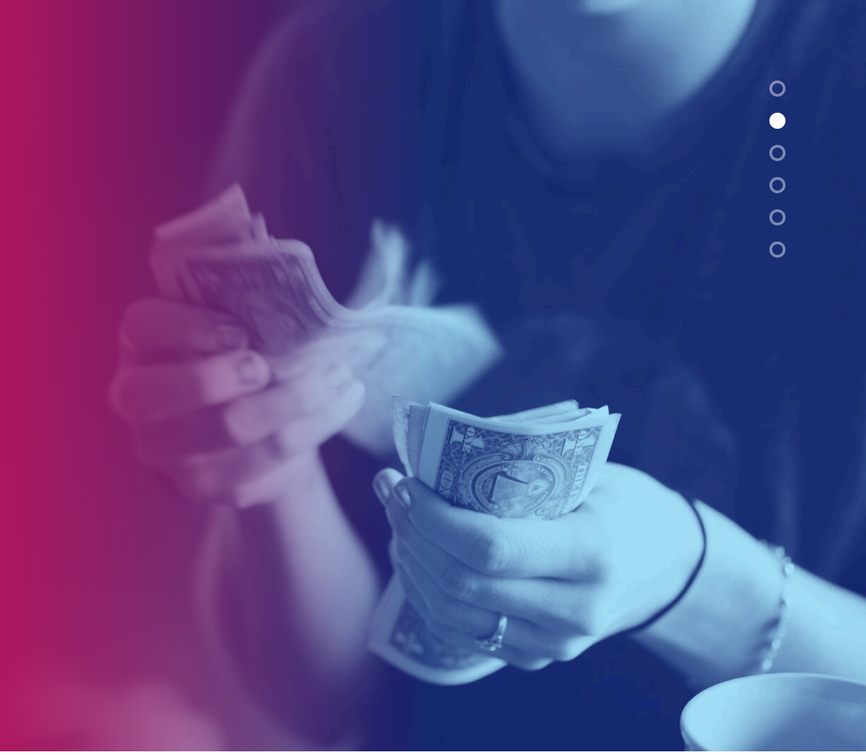


I
Understanding the forex market

II
How currencies are traded

III
What moves exchange rates

IV
Risks and real-world impact



PART I · UNDERSTANDING THE FOREX MARKET

What is the forex market?

The **foreign exchange market** (forex or FX) is the global market where currencies are bought and sold.

Its main function: to set the **exchange rate**, the price of one currency expressed in another.

WHY IT EXISTS · INTERNATIONAL OPERATIONS NEED CURRENCY CONVERSION

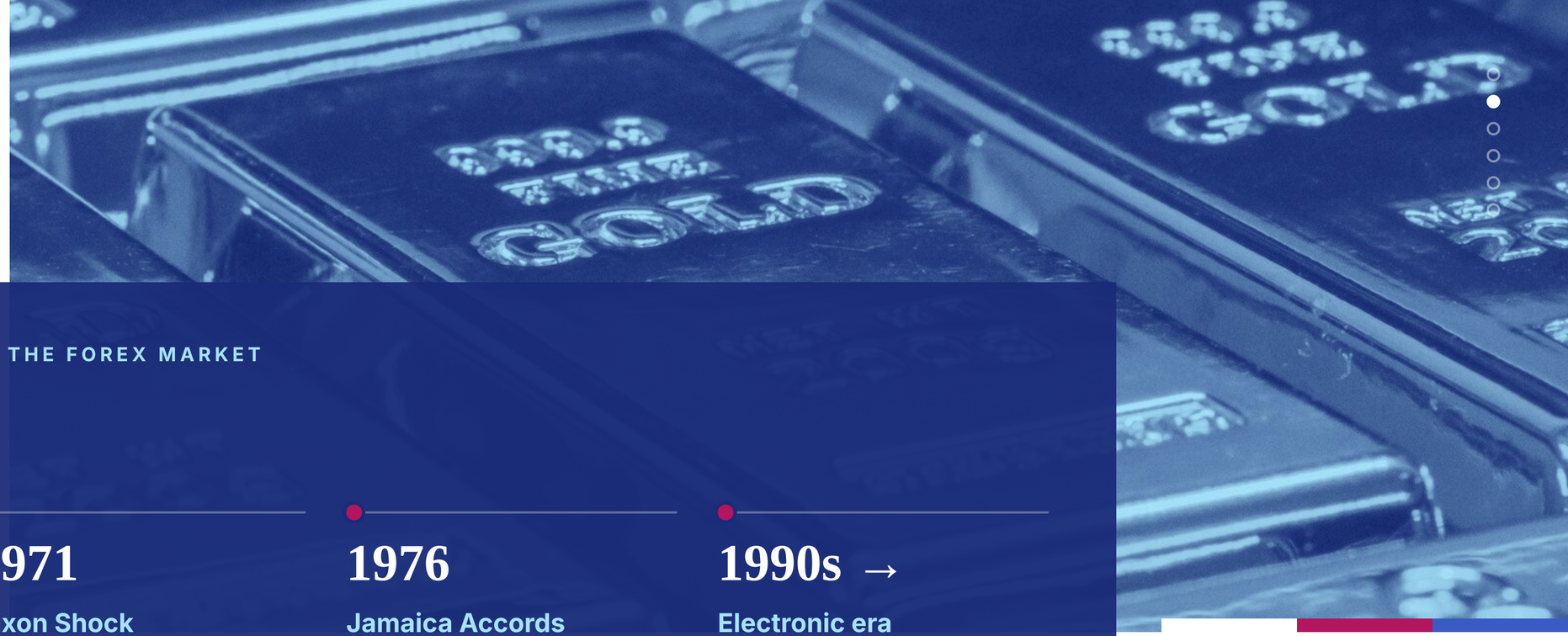
Trade in goods and services

Foreign investment

Tourism

Migrant remittances

Speculation



PART I · UNDERSTANDING THE FOREX MARKET

A brief history

1944

Bretton Woods

Currencies are pegged to the US dollar; the dollar is convertible into gold at $35 per ounce.

1971

Nixon Shock

The US ends the dollar's convertibility into gold: Bretton Woods collapses.

1976

Jamaica Accords

Floating exchange-rate arrangements are formally accepted.

1990s →

Electronic era

Electronic trading and globalization make forex a highly interconnected market.

PART I · UNDERSTANDING THE FOREX MARKET

Key features

THE LARGEST FINANCIAL MARKET IN THE WORLD

$9.6 trillion

traded **every day** on average · April 2025

↑ +28% vs April 2022

Source: BIS Triennial Central Bank Survey, 2025

Decentralized

No single central exchange: much trading takes place over the counter (OTC).

Open about 24 hours, 5 days a week

Trading follows the major financial centers around the globe:

Sydney --- Tokyo --- London --- New York

Highly liquid

Major currencies can generally be bought and sold quickly, in large volumes.

PART I · UNDERSTANDING THE FOREX MARKET

Who takes part?

Central banks
Manage their currency, set interest rates and hold foreign reserves.

Commercial banks THE CORE
The core of the market: they trade with each other and for their clients.

Companies
Exchange currencies to pay suppliers and receive payments from abroad.

Investment funds
Move capital between countries in search of returns.

Retail traders
Individuals speculating through online platforms.

KEY TAKEAWAY Forex makes international trade possible, and it is the largest market on the planet.



PART II · HOW CURRENCIES ARE TRADED

Currency pairs

Currencies are always traded **in pairs**: the first is the **base** currency, the second is the **quote** currency.

EUR / USD = 1.08

BASE QUOTE RATE

1 euro
= 1.08 US dollars

Majors

The US dollar and a major currency

EUR/USD USD/JPY GBP/USD

Minors

Major currencies without the dollar

EUR/GBP EUR/JPY

Exotics

A major currency against an emerging one

USD/TRY EUR/DZD

PART II · HOW CURRENCIES ARE TRADED

Bid, ask and spread

Every pair has **two prices**:

Bid	The price at which the market **buys from you**.
Ask	The price at which the market **sells to you**.
Spread	The difference: it is the **cost of the transaction**.

WHAT IS A PIP?

The smallest standard price movement (the fourth decimal). The more traded the pair, the smaller the spread.

EXAMPLE

EUR/USD

BID · YOU SELL

1.0800

ASK · YOU BUY

1.0802

SPREAD

2 pips

1.0802 − 1.0800 = 0.0002

PART II · HOW CURRENCIES ARE TRADED

Types of transactions

Spot

Immediate exchange at the current rate, settled within **two business days**.

Forward

A rate agreed **today** for an exchange at a **future date**.

MOST TRADED

Swap

A spot and a forward combined, in **opposite directions**.

Options

The **right, but not the obligation**, to exchange at a fixed rate.

PART II · HOW CURRENCIES ARE TRADED

Exchange-rate regimes

MARKET SETS THE RATE — CENTRAL BANK SETS THE RATE

Floating

The market sets the rate freely.

US dollar · euro · yen

ALGERIAN DINAR

Managed float

The rate moves with the market, but the central bank intervenes to limit swings.

Algerian dinar

Fixed or pegged

The central bank keeps a fixed value against another currency.

Saudi riyal against the dollar

KEY TAKEAWAY An exchange rate is a price, and every transaction has a cost (the spread) and a time frame (spot or forward).

PART III · WHAT MOVES EXCHANGE RATES

Supply and demand

Like any price, an exchange rate depends on **supply and demand**.

MORE DEMAND FOR A CURRENCY

Its value rises

Exports | Foreign investment | Tourism

MORE SUPPLY OF A CURRENCY

Its value falls

Imports | Capital leaving the country

The question is: what drives this supply and demand?

PART III · WHAT MOVES EXCHANGE RATES

Interest rates and inflation

> *Inflation is always and everywhere a monetary phenomenon.*
>
> — Milton Friedman, Nobel Prize in Economics, 1976

Interest rates

Country **raises** its rates → Investors move money there to earn more → ↑ **Currency strengthens**

Inflation

Prices rise **faster** than elsewhere → The currency loses purchasing power → ↓ **Value falls over time**

PART III · WHAT MOVES EXCHANGE RATES

The power of central banks

> *Within our mandate, the ECB is ready to do whatever it takes to preserve the euro. And believe me, it will be enough.*
>
> — Mario Draghi, President of the European Central Bank, July 2012

In 2012, markets feared the end of the euro. These few words were enough to **restore confidence** and stabilize the currency.

HOW THEY ACT

- Interest rates
- Direct intervention (buying or selling their currency)
- **Above all: credibility**



PART III · WHAT MOVES EXCHANGE RATES

Politics and confidence: the Brexit case

On **23 June 2016**, the United Kingdom voted to leave the European Union. The next day, the pound hit its lowest level in more than 30 years.

BEFORE THE VOTE

$1.50 for £1 (about)

→ ≈ −12% overnight

24 JUNE 2016

$1.32 for £1

Nothing had changed in the British economy overnight. What changed was confidence.

Exchange rates react to expectations as much as to facts.



KEY TAKEAWAY · PART III

Exchange rates are driven by interest rates, inflation, central banks and, above all, **confidence**.



PART IV · RISKS AND REAL-WORLD IMPACT

Exchange-rate risk

The possibility of **losing money** because a currency changes value between **signing a contract** and **paying it**.

THE CASE

An Algerian importer must pay **100,000 euros** in **three months**.

ILLUSTRATIVE RATES

At signing
1 EUR = 150 DZD
15,000,000 DZD

Three months later
1 EUR = 160 DZD
16,000,000 DZD

LOSS

−1,000,000 DZD

without doing anything wrong.

PART IV · RISKS AND REAL-WORLD IMPACT

Hedging: how companies protect themselves

Hedging means using financial tools to **lock in a rate in advance**.

WITHOUT HEDGING

The cost depends on the market

If 1 EUR = 150 DZD	**15,000,000**
If 1 EUR = 160 DZD	**16,000,000**

Unknown until payment day.

WITH A FORWARD CONTRACT

Rate signed today: 1 EUR = 152 DZD

Whatever happens	**15,200,000**

The cost is fixed today

The company gives up a possible gain to remove the risk of a loss. It buys certainty.

PART IV · RISKS AND REAL-WORLD IMPACT

Speculation and leverage

Leverage allows a trader to control a large position with little capital.

WITH LEVERAGE OF 1:100

$1,000 controls **$100,000**

Rate moves 1% the right way

+$1,000

+100%

Rate moves 1% the wrong way

−$1,000

capital lost

> *Derivatives are financial weapons of mass destruction.*
>
> — Warren Buffett, letter to Berkshire Hathaway shareholders, 2002



FAMOUS CASE · BLACK WEDNESDAY

16 September 1992

George Soros bet against the British pound. The Bank of England could not defend it, and Soros reportedly earned **around $1 billion in a single day**.

PART IV · RISKS AND REAL-WORLD IMPACT

Impact on everyday life

↓ A weak currency

- − Imports more expensive, prices rise
- + Exports more competitive

↑ A strong currency

- + Imports are cheaper
- − Local producers struggle to export



THE ALGERIAN CASE

Official rate
set by the Bank of Algeria

Parallel market
“the square”, significantly higher

The gap reflects strong demand for foreign currency and limited official access to it. It directly affects the price of **cars, travel and imported goods**.

KEY TAKEAWAY Forex risk is real for companies and traders, and its effects reach everyone through prices.

CONCLUSION

The backbone of the global economy

Without the forex market, no country could trade, invest or borrow abroad.

EXCHANGE RATES ARE PRICES SHAPED BY

- Supply & demand
- Interest rates
- Inflation
- Central banks
- Confidence

THEY CREATE

- Opportunities
- Risks managed through hedging
- Risks amplified by leverage

FROM BRETTON WOODS TO BREXIT, ONE CONSTANT

The value of a currency reflects the trust placed in the economy behind it.

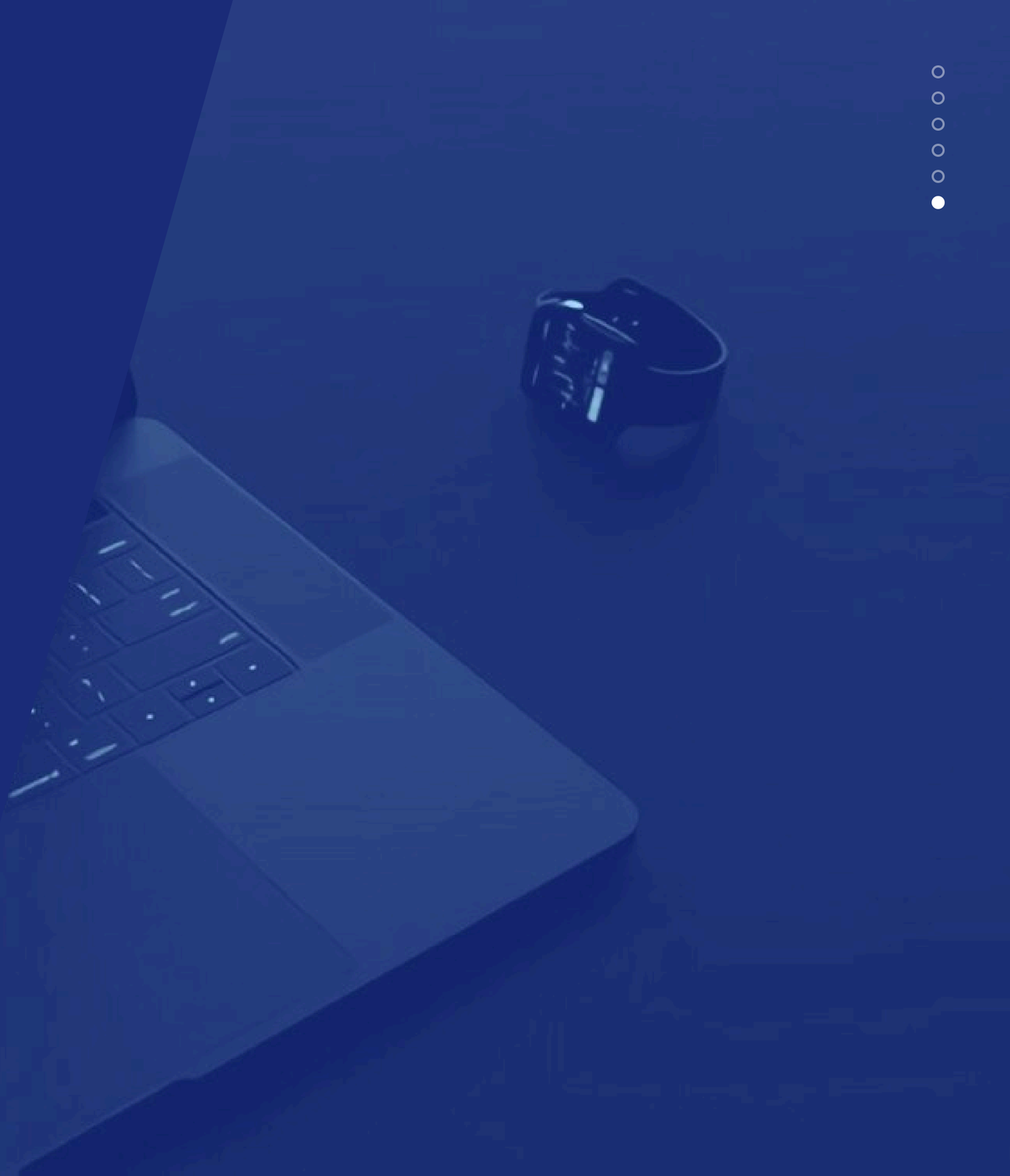


Thank you

Questions?

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Foreign Exchange Markets: The Price of Money



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